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When recorded mail to:
Garfield and Southern Company
9090 Burton Way
Beverly Hills, California

3098

RECORDED IN OFFICIAL RECORDS
OF LOS ANGELES COUNTY, CALIF.

41 Min. 12 P.M. APR 26 1972

Registrar-Recorder

DECLARATION OF
COVENANTS, CONDITIONS AND RESTRICTIONS

(TRACT NO. 23936)

FEE \$31⁰⁰30E

This Declaration of Covenants, Conditions and Restrictions, is made this 13th day of April, 1972, by GARFIELD AND SOUTHERN COMPANY (hereinafter referred to as "Declarant").

R E C I T A L S:

Declarant is the owner of certain real property in the City of South Gate, County of Los Angeles, State of California known as Tract No. 23936 (hereinafter referred to as "The Property"), as per map recorded in Book 816 Pages 37 through 41 inclusive, in the Office of the County Recorder of Los Angeles County. In order to establish a general plan for the improvement and development of the Property, Declarant desires to subject the Property to certain Conditions, Covenants and Restrictions, upon and subject to which all of the Property shall be held, improved and conveyed.

NOW, THEREFORE, Declarant hereby declares that all of the Property described as said Tract 23936, except Lots 1 through 19, 106 through 115, 122 and 123, shall be held sold and conveyed subject to the following easements, restrictions, covenants and conditions:

1
DEFINITIONS

1. The term "Subdivision" as used herein, shall refer to Tract No. 23936 and such additions as may hereinafter be brought within the jurisdiction of the Association as provided in Article XIII below.
2. The term "Community" as used herein, shall refer to the land within the Subdivision.
3. The term "Residential Lot" shall mean and refer to any plot of land shown upon any recorded subdivision map of the Subdivision with the exception of the Common Area.
4. "Common Area" shall mean all real property owned by the Association for the common use and enjoyment of the members of the Association.
5. The term "Covenants", as used herein, shall refer collectively to the covenants, conditions, restrictions, reservations, easements, liens and charges imposed by or expressed in this Declaration.
6. The term "Owner", as used herein, shall refer to the record owner, whether one or more persons or entities, of a fee simple title to any Residential Lot which is a part of the Subdivision, including contract sellers, but excluding those having such interest merely as security for the performance of an obligation.
7. The term "Association", as used herein, shall refer to Stonewood Homeowners Association, a non-profit corporation, its successors and assigns.
8. The term "Board of Directors" or "Board", as used herein, shall refer to the duly elected board of directors of this Association. The Articles of Incorporation and the By-Laws of the Association are attached hereto and made a part hereof as Exhibit "B" and Exhibit "C" respectively.

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II

NATURE AND PURPOSE OF COVENANTS

The Covenants, Conditions, and Restrictions set forth in the Declaration constitute a general scheme for the development, protection and maintenance of the Community to enhance the value, desirability and attractiveness of the Residential Lots and Common Areas for the benefit of all Owners of Residential Lots therein. These Covenants, Restrictions and Conditions are imposed upon Declarant and upon the Owners of all Lots. Said Covenants, Conditions and Restrictions are for the benefit of all of the Lots in the Community, and shall bind the Owners of all such Lots. Such Covenants, Conditions and Restrictions shall be a burden upon and a benefit to not only the original Owner of each Lot in the Community but also his successors and assigns. All such Covenants, Conditions and Restrictions are intended as and are hereby declared to be covenants running with the land or equitable servitudes upon the land, as the case may be.

III

USE OF RESIDENTIAL LOTS AND COMMON AREAS

1. Each Residential Lot shall be improved, used and occupied only for single family dwelling residential purposes.
2. No Residential Lot or improvements situated thereon shall be occupied or used for any purpose or in any manner which shall cause such improvements to be uninsurable against loss by fire or the perils of the extended coverage endorsement to the California Standard Fire Policy form, or cause any policy or policies representing such insurance and insuring any improvements within the Community to be cancelled or suspended or the company issuing the same to refuse renewal thereof.
3. Dogs, cats or usual and ordinary household pets may be kept in any dwelling unit contained within a Residential Lot, only as may be permitted by rules made by the Board of Directors. Except as hereinabove provided, no animals, livestock, bird or poultry shall be brought within the Community or kept on any Lot thereof.
4. No Residential Lot shall be used in such manner as to obstruct or interfere with the enjoyment of occupants of other Residential Lots or annoy them by unreasonable noises or otherwise, nor shall any nuisance, or immoral or illegal activity be committed or permitted to occur on any Residential Lot.
5. No billboards or advertising signs shall be permitted other than a sign of reasonable size, design and color offering any Lot and improvement thereof for rent or sale; provided, however, Declarant shall be entitled to conduct its sales program within the Property including the posting of signs, posters and other advertising media until all Residential Lots subject to this Declaration, originally or by annexation, have been sold by Declarant or five (5) years from date hereof, whichever shall first occur.
6. Unless and except as specifically permitted by rules adopted by the Board of Directors no external antenna for the reception or transmission of radio or television signals shall be erected or maintained upon any Residential Lot or the Common Area, nor shall any Residential Lot or Common Area be utilized for the transmission of shortwave or other radio or television communications.
7. No laundry, bedding, garment or other items of like nature shall be hung on any Residential Lot so as to be visible from another Residential Lot or from the Common Area.
8. The Common Area shall be improved and used only for the following purposes:

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(A) Use by the Owners and occupants of Residential Lots in the Community and their guests in accordance with such rules and regulations as may be adopted by the Board of Directors.

(B) Beautification of the Community and providing privacy to the residents thereof through landscaping and such other means as the Board of Directors shall deem appropriate.

9. No part of the Common Area shall be obstructed so as to interfere with its use for the purposes hereinabove permitted, nor shall any part of the Common Area be used for storage purposes (except as incidental to one of such permitted uses), nor used in any manner which may increase the rate at which insurance may be obtained insuring against loss by fire or the perils described in the extended coverage endorsement to the California Standard Fire Policy Form and against loss from bodily injury or property damage occurring on or about the Common Area and improvements situated thereon, nor shall such premises be used in a manner which will cause the Association to be uninsurable against such risks, or will cause any policy or policies representing such insurance to be cancelled or suspended or the company issuing the same to refuse renewal thereof.

10. There shall be no parking or movement of gasoline or electrically propelled vehicles on any portion of the Common Area which is not specifically designated for that purpose.

11. The use of Common Area parking facilities shall be in accordance with rules and regulations adopted by the Board of Directors, and unless and except as such rules and regulations may specifically otherwise provide, Common Area parking facilities shall not be used for parking in excess of two (2) hours of any boat, camper or truck, nor for overnight parking of any vehicle (regardless of type) other than vehicles of temporary guests or residents it being the intent that the residents shall utilize the parking facilities within the Residential Lots and keep the Common Area parking area free for use of guests. The Common Area parking facilities shall not be used for vehicle washing or repair.

12. The Common Areas shall be maintained in an attractive and safe manner suitable to the full enjoyment of the open spaces and all improvements located thereon. The Board of Directors, as hereinafter provided, shall levy an assessment against all of the owners for the maintenance, upkeep, taxes, insurance and other charges against the Common Areas.

13. Every resident member shall have a right and easement of enjoyment in and to the Common Area and such easement shall be appurtenant to and shall pass with the title to every assessed Lot, subject to the following provisions:

(A) The right of the Association to limit the number of guests of member;

(B) The right of the Association, in accordance with its Articles and By-Laws, to borrow money for the purpose of improving the Common Area and facilities and in aid thereof to mortgage said property, and the rights of such mortgagee in said properties shall be subordinate to the rights of the homeowners hereunder;

(C) The right of the Association to suspend the voting rights and right to use of the recreational facilities by a member for any period during which any assessment against his Lot remains unpaid; and for a period not to exceed thirty (30) days after notice and hearing for any infrac-

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tion of its published rules and regulations; and

(D) the right of the Association to dedicate or transfer all or any part of the Common Area to any public agency, authority, or utility for such purposes and subject to such conditions as may be agreed to by the members. No such dedication or transfer shall be effective unless an instrument has been signed by the Secretary of the Association certifying that such dedication sale or transfer has been approved by two-thirds (2/3) of the entire class A membership and two-thirds (2/3) of the entire class B membership.

(E) The area of each residential lot not occupied by a dwelling or garage (except the private patio between the dwelling and garage) shall be considered part of Common Area.

14. Any member may delegate, in accordance with the By-Laws, his right of enjoyment to the Common Area and facilities to the members of his family, his tenants, or contract purchasers who reside on the property.

15. Each Residential Lot within the Subdivision is hereby declared to have an easement over all adjoining Residential Lots and Common Area for the purpose of accommodating any encroachment due to engineering errors, errors in original construction, settlement or shifting of the structure in each Residential Lot, or any other cause. There shall be valid easements for the maintenance of said encroachment, settlement or shifting. In the event a structure on any Residential Lot is partially or totally destroyed, and then repaired or rebuilt, the Owner of each Residential Lot agrees that minor encroachments over adjoining Residential Lots shall be permitted and that there shall be valid easements for the maintenance of said encroachments so long as they shall exist;

Each Residential Lot within the Subdivision is hereby declared to have an easement over each adjoining Residential Lot and/or the Common Areas as the case may be, for over-hanging roofs and eaves, patio protrusions, covered entries and dormer windows, or window box as to each dwelling, and the maintenance thereof.

Each Residential Lot within the Subdivision is hereby declared to have an easement for mutual support of common decorative beams and for trellises that may traverse one or more Residential Lots.

16. Prior to the conveyance of the first Residential Lot, Declarant shall have the right to grant all utility and related easements necessary for proper development of the Community. Any subsequent conveyance shall be subject to such easements.

IV

MEMBERSHIP AND VOTING RIGHTS

1. Every Owner of a Lot which is subject to assessment shall be a member of the Association. Membership shall be appurtenant to and may not be separate from Ownership of any Lot which is subject to assessment.

2. The Association shall have two (2) classes of voting membership:

Class A. Class A members shall be all Owners with the exception of the Declarant and shall be entitled to one (1) vote for each Lot owned. When more than one person holds an interest in any Lot, all such persons shall be entitled to all rights and privileges of membership. The vote for such Lot shall be exercised as they among themselves determine, but in no event shall more than one vote be cast with respect to any Lot.

Class B. The Class B member shall be the Declarant and shall be entitled to three (3) votes for each Lot owned. The Class B membership shall cease and be converted to Class A membership on the happening of either of the following events, whichever occurs earlier:

(A) When the total votes outstanding in the Class A membership equal the total votes outstanding in the Class B membership, or

(B) December 31, 1976.

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V
COVENANT FOR MAINTENANCE ASSESSMENTS

1. The Declarant, for each Lot owned within the Subdivision, hereby covenants, and each Owner of any Lot by acceptance of a deed therefor, whether or not it shall be so expressed in such deed, is deemed to covenant and agree to pay to the Association:

(1) Annual Assessments or charges, and

(2) Special assessments for capital improvements, such as assessments to be established and collected as hereinafter provided. The annual and special assessments, together with interest, costs, and reasonable attorney's fees, shall be a charge on the land and shall be a continuing lien upon the property against which each such assessment is made. Each such assessment, together with interest, costs, and reasonable attorney's fees, shall also be the personal obligation of the person who was the Owner of such property at the time when the assessment fell due. The personal obligation for delinquent assessments shall not pass to his successors in title unless expressly assumed by them. The Association may cause to be recorded with the county recorder of the County of Los Angeles a notice of assessment stating the amount of such assessment and such other charges as hereinbelow provided, a description of the property being assessed and the name of the record owner thereof executed by a duly authorized representative of the Association.

2. The assessments levied by the Association shall be used exclusively to promote the recreation, health, safety, and welfare of the residents in the Subdivision and for the improvement and maintenance of the Common Area, and of the dwelling units upon the Residential Lots.

3. Until January 1 of the year immediately following the conveyance of the first Lot to an Owner, the maximum annual assessment shall be three hundred dollars (\$300.00) per Lot.

(A) From and after January 1 of the year immediately following the conveyance of the first Lot to an Owner, the maximum annual assessment may be increased effective January 1 of each year without a vote of the membership in conformance with the rise, if any, of the consumer price index (Los Angeles-Long Beach area) (published by the Department of Labor, Washington, D. C.) for the preceding month of July over that of June, 1971.

(B) From and after January 1 of the year immediately following the conveyance of the first Lot to an Owner, the maximum annual assessment may be increased above that established by the consumer price index formula by a vote or written assent of the members for the next succeeding year and at the end of each such year, for each succeeding year, provided that any such change shall have the vote or written assent of 51% of each class of members. The limitations hereof shall not apply to any change in the maximum and basis of the assessments undertaken as an incident to a merger or consolidation in which the Association is authorized to participate under its Articles of Incorporation.

(C) After consideration of current maintenance costs and future needs of the Association, the Board of Directors may fix the annual assessment at an amount not in excess of the maximum.

4. In addition to the annual assessments authorized above, the Association may levy, in any assessment year, a special assessment applicable to that

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year only for the purpose of defraying, in whole or in part, the cost of any construction, reconstruction, repair or replacement of a capital improvement upon the Common Area, including fixtures and personal property related thereto, provided that any such assessment shall have the vote or written assent of 51% of each class of members.

5. Written notice of any meeting called for the purpose of taking any action authorized under Paragraph 3 or 4 of Article V shall be sent to all members not less than ten (10) days nor more than sixty (60) days in advance of the meeting. If the proposed action is favored by a majority of the votes cast at such meeting, but such vote is less than the requisite 51% of each class of members, members who were not present in person or by proxy may give their assent in writing, provided the same is obtained by the appropriate officers of the Association not later than thirty (30) days from the date of such meeting.

6. Both annual and special assessments must be fixed at a uniform rate on all Lots and may be collected on a monthly basis.

7. The annual assessments provided for herein shall commence as to all Lots on the first day of the month following the conveyance of the Common Area. With respect to Lots contained in each tract annexed to that affected by this Declaration after conveyance of the Common Area, the assessments shall commence with respect to all Lots contained in each such annexed tract as of the date of the conveyance of the first improved Lot therein to an Owner thereof. The first annual assessment shall be adjusted according to the number of months remaining in the calendar year. The Board of Directors shall fix the amount of the annual assessment against each Lot at least thirty (30) days in advance of each annual assessment period. Written notice of the annual assessment shall be sent to every Owner subject thereto. The due dates shall be established by the Board of Directors. The Association shall, upon demand, and for a reasonable charge, furnish a certificate signed by an officer of the Association setting forth whether the assessments on a specified Lot have been paid.

8. Any assessment not paid when due shall be delinquent. If the assessment is not paid within thirty (30) days after the due date the assessment shall bear interest from the date of delinquency at the rate of ten per cent (10%) per annum. The Association may bring an action at law against the Owner personally obligated to pay the same, or foreclose the lien against the property and interest, costs and reasonable attorney's fees shall be added to the amount of such assessment. No Owner may waive or otherwise escape liability for the assessments provided for herein by non-use of the Common Area or abandonment of his Lot.

9. The lien of the assessments provided for herein shall be subordinate to the lien of any mortgage or deed of trust. Sale or transfer of any Lot shall not affect the assessment lien. However, the sale or transfer of any Lot which is subject to any deed of trust or mortgage, pursuant to a Decree of Foreclosure under such deed of trust or mortgage or trustee's sale or deed in lieu of foreclosure thereof, shall extinguish the lien of such assessments as to payments thereof which become due prior to such sale or transfer. No sale or transfer shall relieve such Lot from liability for any assessments thereafter becoming due or from the lien thereof.

10. The following property subject to this Declaration shall be exempt from the assessments created therein:

(A) All properties dedicated to and accepted by a local public authority,

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(B) The Common Area, and

(C) All properties owned by a charitable or non-profit organization exempt from taxation by the Laws of the State of California. Nothing contained in the foregoing shall exempt land or improvements devoted to dwelling use from said assessments.

VI MANAGEMENT

1. All powers relating to management, operation and maintenance of the Common Area, as well as certain rights, duties and powers relating to Residential Lots, as hereinafter set forth, shall be vested in the Association.

2. The specific and primary purposes of the Association shall be to manage and maintain the facilities of the Community and to provide recreational activities for the Owners and to otherwise foster and support Community activities of such Owners, and to perform the functions set forth in the Declaration of Covenants, Conditions and Restrictions.

3. The Association shall be a non-profit corporation and shall not engage in any business whatsoever, and its sole financial support shall be by assessment of the Owners of the Residential Lots as herein provided.

4. The Association shall not:

(A) Advocate the election or defeat of any candidate for public office.

(B) Participate or intervene directly or indirectly in any political campaign.

(C) Advocate the adoption or rejection of any legislation save incidentally, if such may affect its overall purposes.

(D) Discriminate in its activities among individuals, organizations, institutions, firms, associations or corporations on the basis of race, religion, region or country of national origin.

(E) Encourage, support nor aid in any way individuals, corporations, organizations or institutions that discriminate in their activities on the basis of race, religion, region or country of national origin.

5. The Association may employ or engage a manager and other employees or agents and contract for such services, labor and materials as it may deem reasonably necessary to operate and maintain the Common Area and the facilities thereon and to discharge its other duties as herein provided. Any manager, agent or employee selected prior to the first annual election shall be employed to manage or work only until the first annual election, after initial organization, at which time the continuance of the same or the selection of a new manager or agent shall be determined by the Board of Directors elected at the first annual election.

6. The Association shall be responsible for:

(A) Maintaining the Common Area and all improvements thereon (including furnishings and equipment related thereto, together with all onsite water to water valve at each dwelling and onsite sewer to the lateral line leading to each dwelling) in good, clean, attractive and sanitary order and repair.

(B) Maintaining the areas of the Residential Lots not occupied by the dwelling thereon except for private patio areas in good, clean, at-

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tractive and sanitary order and repair.

(C) Operation of the recreational equipment and facilities located within the Common Area.

(D) Maintaining the roofs of dwellings and garages situated on the Residential Lots, including any necessary replacement or repair.

(E) Repainting of exterior surfaces of dwellings, garages and fencing situated on the Residential Lots and Common Areas, as such repainting is required in order to preserve the attractiveness of the Community.

(F) Keeping and maintaining adequate fire and public liability insurance on all improvements located within the Common Areas.

(G) Maintenance of shrubs, grass, trees, walks, and other exterior improvements with the exception of glass surfaces and except for private patio areas.

7. Each Owner shall carry fire insurance with extended coverage endorsement or other form of coverage providing equal or greater protection in the amount of the full insurable replacement value of the residential improvements located on the Owner's Lot. In the event of damage to or destruction of a residential unit, the Owner shall cause the same to be repaired, rebuilt or replaced. A certificate of insurance shall be deposited with the Association annually showing the policy of insurance to be in full force and effect. In the event such a certificate shall not be deposited, it shall be conclusively presumed that the Owner of the Lot has not obtained adequate insurance as specified herein and the Association shall purchase a fire insurance policy of sufficient coverage to protect the unit, the prorated premiums for which shall be added to the monthly assessment for the Lot.

8. The Association shall carry workmen's compensation insurance covering all persons employed by it in performing its responsibilities under this Declaration. The Association shall also maintain in force bodily injury liability insurance with limits of not less than \$100,00 per person injured and \$300,00 per accident, and property damage liability insurance with a limit of not less than \$50,000 per occurrence, covering the Common Area and the use thereof, and insuring the Association, its officers, and all Owners.

9. The Association shall adopt reasonable rules relating to the use of the Common Area and the recreational and other facilities situated thereon by Owners and by their tenants or guests. A copy of such rules and of all amendments thereto shall be mailed to each Owner of a Residential Lot, and a copy shall be posted in one or more places on the Common Area where the same may be conveniently inspected.

10. An easement is granted the Association for its representatives to have rights of ingress and egress upon any Residential Lot to the extent entry is necessary to carry out the repainting of the exterior surfaces of dwelling and garages situated thereon, repair of all roofs situated thereon, or to perform any work required in the maintenance and upkeep of the Common Area or the portion of each Residential Lot not occupied by a dwelling, or for any other purpose reasonably related to the performance by the Association of its responsibilities under the terms of this Declaration. Such right of entry shall be exercised in such manner as to interfere with the possession and enjoyment of the occupants of such Lot as little as is reasonably possible, and shall be preceded by reasonable notice wherever the circumstances permit. In no event shall entry within a building be made

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without the consent of the occupant, unless such entry be pursuant to a valid order of court.

11. The Association may do any and all other acts and things that a non-profit corporation is empowered to do, which may be necessary, convenient or desirable in the administration of its affairs for the specific and primary purposes and meet its duties as herein set forth. Nothing herein contained shall be construed to give the Association authority to conduct a business for profit on behalf of all of the Owners or any of them or at all.

VII TITLE TO COMMON AREA

The Declarant hereby covenants for itself, its heirs and assigns, that it will convey fee simple title to the Common Area to the Association, free and clear of all incumbrances and liens, prior to the conveyance of the first Lot in the Tract.

VIII RESPONSIBILITIES OF OWNER

1. Each Owner of a Residential Lot shall be responsible for the maintenance and repair of the dwelling and garage situated thereon, except for the repainting of exterior surfaces thereof and the maintenance, repair and replacement of the roofs thereon. Further, each Owner shall be responsible for landscaping and maintenance of his patio area. Any patio area visible from Common Areas or other residences shall be landscaped and maintained in attractive manner similar to Common Area landscaping. In the event any Owner fails to maintain his buildings and improvements or make repairs thereto in such manner as shall be deemed necessary in the judgment of the Board of Directors to preserve the attractive appearance of the Community and protect the value of other property therein, the Board shall give written notice to such Owner, stating with particularity the work of maintenance or repair which the Board finds to be required, and requesting that the same be carried out within a period of sixty (60) days from the giving of such notice. In the event the Owner fails to carry out such maintenance or repair within the period specified by the notice, the Board shall cause such work to be done, and shall assess the cost thereof to such Owner.

2. In the event of the damage to or destruction of any building on any Residential Lot, the Owner of the Residential Lot on which the same is situated shall promptly cause any debris resulting from such damage or destruction to be removed from said Lot and from the Common Area, and shall thereafter with reasonable diligence and expedition cause such dwelling and garage to be repaired or rebuilt in accordance with the original plans therefor, or in such manner as may be authorized by the Board of Directors.

IX ARCHITECTURAL CONTROL

1. No building or other structure or additional landscaping (except landscaping within private patios) other than landscaping installed by Declarant, including fences and walls, located on a Residential Lot, shall be erected, altered or repaired until the building plans, specifications and plot plans showing the location, elevation and grade lines of such building or other structure, or such other description of the proposed work as shall be furnished to and approved in writing by the Board of Directors, or by an architectural committee composed of three (3) or more representatives appointed by the Board. One set of such plans, specifications and plot plans or other description shall be submitted to the Board or its architectural committee. The Board or its architectural committee, before giving such approval may require that changes be made to comply with such requirements as the Board or its architectural committee, in its absolute discretion, impose as to the structural features of said building or other structure,

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the type of building material used, or other features or characteristics thereof not expressly covered by any of the provisions of this instrument, including the location of the building or other structure with respect to topography and finished ground elevation. The Board or its architectural committee may also require that the exterior finish and color, and the architectural style or character of such building or other structure shall be such as in the discretion of the Board shall be deemed to be suitable in view of the general architectural style and character of structures erected or to be erected in the Community. The repainting of the exterior surface of any building or other structure in the Community shall be the prime responsibility of the Association and such surfaces shall not be repainted or refinished by the Owner in a color or manner differing from the previous painting or finishing of such building or other structure until the Board or its architectural committee shall have given its written approval of such repainting or refinning following the submission of an acceptable description of the work to be done. In the event the Board or its architectural committee shall fail to approve or disapprove any plans, specifications, plot plans or work description submitted to it within thirty (30) days after such submission, then such approval shall be deemed to have been waived. No member may construct, repair, remove, improve or otherwise affect any portion of the Common Area in any manner unless specifically authorized in writing by the Board of Directors.

2. Neither the Association, the Board of Directors, the architectural committee, nor any member thereof shall be responsible for structural or other defects of any kind or nature in said plans or specifications, or in the structures and improvements erected in accordance therewith.

X
BREACH

1. Breach of any of the covenants contained in this Declaration and the continuation of any such breach may be enjoined, abated or remedied by appropriate legal proceedings by any Owner, by the Association or the successors in interest of the Association.

2. The result of every act or omission whereby any of the covenants contained in this Declaration are violated in whole or in part is hereby declared to be and constitutes a nuisance, and every remedy allowed by law or equity against a nuisance either public or private shall be applicable against every such result and may be exercised by any Owner, by the Association or its successors in interest.

3. The remedies herein provided for breach of the covenants contained in this Declaration shall be deemed cumulative, and none of such remedies shall be deemed exclusive.

4. The failure of the Association to enforce any of the covenants contained in this Declaration shall not constitute a waiver of the right to enforce the same thereafter.

5. A breach of the covenants contained in this Declaration shall not affect or impair the lien or charge of any bona fide mortgage or deed of trust made in good faith and for value on any Residential Lot or the improvements thereon, provided, however that any subsequent Owner of such property shall be bound by said covenants, whether such Owner's title was acquired by foreclosure in a trustee's sale or otherwise.

XI
NOTICES

In each instance in which notice is to be given to the Owner of a Residential Lot, the same shall be in writing and may be delivered personally,

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in which case personal delivery of such notice to one of two or more co-owners of the Lot, or to any general partner of a partnership owning such Lot, shall be deemed delivery to all of the co-owners or to the partnership, as the case may be, and personal delivery of the notice to any officer or agent for the service of process of a corporation owning such Lot shall be deemed delivery to the corporation or such notice may be delivered by United States mail, certified or registered, postage prepaid, return receipt requested, addressed to the Owner of such Lot at the most recent address furnished by such Owner in writing for the purpose of giving notice, or if no such address shall have been furnished, then to the street address of such Lot, and any notice so deposited in the mail within Los Angeles County, California, shall be deemed delivered forty-eight (48) hours after such deposit. Any notice to be given to the Association may be delivered personally to any member of the Board, or delivered in such other manner as may be authorized by the Association. Any notices to be given to the Association shall be delivered by the United States mail, certified or registered, postage prepaid, return receipt requested, and any notice so deposited in the mail within Los Angeles County, California, shall be deemed delivered forty-eight (48) hours after such deposit. For a period of one (1) year from the date of recording of this document a duplicate of all notices of the Association shall be mailed to Declarant at 9090 Burton Way, Beverly Hills, California 90211.

XII
COMMON WALLS

1. Each wall which is built as part of the original construction of the homes within the Community and is placed on the Residential Lot so as to abut or adjoin a dwelling constructed on a contiguous Lot, shall constitute a common wall, and to the extent not inconsistent with the provisions of this Article, the general rules of law regarding common walls and of liability for property damage due to negligence or willful acts or omissions shall apply thereto. Each Owner of a Residential Lot upon which there exists a common wall shall own to the center of such wall.

2. The Owner of each Residential Lot upon which there is located a common wall shall have a reciprocal nonexclusive easement to each contiguous Lot for the purpose of maintaining said common wall. The cost of reasonable repair and maintenance of a common wall shall be shared by the Owners who make use of the wall in proportion to such use.

3. If a common wall is destroyed or damaged by fire or other casualty, any Owner who has used the wall may restore it, and if the other Owners thereafter make use of the wall, they shall contribute to the cost of restoration thereof in proportion to such use without prejudice, however, to the right of any such Owners to call for a larger contribution from the others under any rule of law regarding liability for negligent or willful acts or omissions.

4. Notwithstanding any other provisions of this Article, an Owner who by his negligent or willful act causes the common wall to be exposed to the elements shall bear the whole cost of furnishing the necessary protection against such elements.

5. The right of any Owner to contribution from any other Owner under this Article shall be appurtenant to the land and shall pass to such Owner's successors in title.

6. In the event of any dispute arising concerning a common wall, or under the provisions of this Article, each party shall choose one arbitrator, and such arbitrators shall choose one additional arbitrator, and the decision of a majority of all the arbitrators shall be final and conclusive of the question involved.

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XIII
ADDED PROPERTY

1. Additional Residential Lots and Common Area may be annexed to the Subdivision with the consent of at least a two-thirds (2/3) majority of the voting power excluding the voting power of the Declarant; or

2. Additional lands may become subject to this Declaration in the following manner:

(A) If, within five (5) years of the date of the recordation of this Declaration, the Declarant, its successors or assigns, shall develop additional land within the area described in Exhibit A attached hereto, such additional lands may be annexed to the Subdivision and made subject to the provisions of this Declaration by the recordation of a supplemental Declaration relating thereto by Declarant, its successors or assigns, without the approval of the Board of Directors of the Association which Supplemental Declaration shall extend the scheme of the covenants, conditions and restrictions of this Declaration to such property.

(B) Upon a merger or consolidation of the Association with another association as provided in its Articles of Incorporation, its properties, rights and obligations may, by operation of law, be transferred to another surviving or consolidated association or, alternatively, the properties, rights and obligations of another association may, by operation of law, be added to the properties, rights and obligations of the Association as a surviving or consolidated association may administer the Covenants and Restrictions established by this Declaration within the Existing Property, together with the covenants and restrictions established upon any other properties, as one scheme.

Such Supplementary Declarations contemplated above may contain such complementary additions and modifications of the Covenants and Restrictions contained in this Declaration as may be necessary to reflect the different character, if any, of the added properties and as are not inconsistent with the scheme of this Declaration. In no event, however, shall any such supplementary Declarations, merger or consolidation, revoke, modify or add to the Covenants established by this Declaration within the Existing Subdivision except as hereinafter otherwise provided.

XIV
SEVERABILITY

Should any of the covenants contained in this Declaration be void or become unenforceable in law or in equity, the remaining portions of this Declaration shall, nevertheless, be and remain in full force and effect.

XV
TERM, SCOPE, DURATION AND AMENDMENT

1. This Declaration and the covenants herein contained shall be in effect until December 31, 2006, and shall be automatically extended for successive periods of ten (10) years unless within six (6) months prior to the expiration of the initial term or any ten (10) year renewal period a written agreement executed by the then record owners of more than three-fourths (3/4) of the Residential Lots shall be placed on record in the office of the county recorder of the County of Los Angeles, by the terms of which agreement the effectiveness of this Declaration is terminated or the covenants herein contained are extinguished in whole or in part as to all or any part of the property then subject thereto.

2. This Declaration may be amended by an instrument in writing signed by Lot Owners owning not less than seventy-five per cent (75%) of the Residential Lots. Any amendment must be recorded.

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3. Notwithstanding the foregoing, this Declaration shall become ineffective and the covenants herein contained shall be extinguished upon the expiration of the longest period permitted by law and unless it shall be lawful to further continue such covenants this Declaration shall become ineffective and the covenants herein contained shall be extinguished upon the expiration of twenty-one (21) years following the death of the last survivor of the following named persons and all natural and legally adopted issue of such persons who are living at the time of the execution of this Declaration:

Richard M. Nixon

(President of the United States)

Lyndon B. Johnson

(Former President of the United States)

Ronald Reagan

(Governor of the State of California)

XVII
CONFLICTS

In the case of any conflict between this Declaration and the Articles of Incorporation of the Association, this Declaration shall control, and in the case of any conflict between this Declaration and the By-Laws of the Association, this Declaration shall control.

XVIII
CAPTIONS

The titles or headings of the Articles or Paragraphs of this Declaration are not a part hereof and shall have no effect upon the construction or interpretation of any part hereof.

IN WITNESS WHEREOF, the undersigned, being the Declarant herein, has hereto set its hand and seal this 13th day of April, 1972.

GARFIELD AND SOUTHERN COMPANY A CORPORATION

By: Norman Burnam
Its: President Norman Burnam

By: Marcia Burnam
Its: Secretary Marcia Burnam

TO 449 C
(Corporation)

STATE OF CALIFORNIA
COUNTY OF LOS ANGELES } SS.

On April 13, 1972

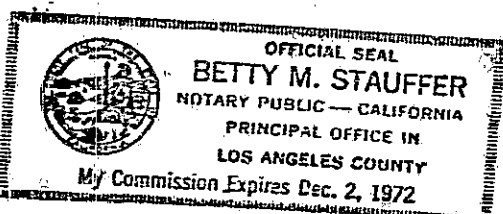
before me, the undersigned, a Notary Public in and for said State, personally appeared NORMAN BURNAM

known to me to be the President, and MARCIA BURNAM

known to me to be the Secretary of the corporation that executed the within Instrument, known to me to be the persons who executed the within Instrument on behalf of the corporation therein named, and acknowledged to me that such corporation executed the within instrument pursuant to its by-laws or a resolution of its board of directors.

WITNESS my hand and official seal.

Signature Betty M. Stauffer
Name (Typed or Printed) BETTY M. STAUFFER



(This area for official notarial seal)

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EXHIBIT "A"

PARCEL 1:

That portion of the Rancho Santa Gertrudes, in the city of South Gate, as per map recorded in Book 1, Page 156 of Patents, in the office of the county recorder of said county, described as follows:

Beginning at a one inch pipe set at an angle point in the Southeasterly line of Block "A" of the property of T. A. House, as shown on map recorded in Book 11, Page 71 of Maps, records of said county, said angle point being distant South $23^{\circ} 53' 45''$ West, along the said Southeasterly line, 493.96 feet from the most Easterly corner of said Block "A"; thence South $59^{\circ} 53' 45''$ West, along said Southeasterly line, 134.61 feet to a two-inch pipe set in concrete at the intersection of said Southeasterly line with the Northwestern prolongation of that portion of the Northeasterly line of the Los Angeles County Farm, as shown on County Surveyor's Map No. 7583, Sheet 2, on file in the office of the Surveyor of said county, as having a bearing of South $57^{\circ} 57' 35''$ East, thence along said prolongation, South $57^{\circ} 54' 15''$ East, to the intersection of said prolongation, with a line extending from the most Northerly corner of said County Farm, as shown on said map to the point of beginning of this description; thence Northeasterly along said last described line to the point of beginning.

PARCEL 2:

That certain tract of land, being a portion of Block "A" of the property of T. A. House, in the city of South Gate, as per map recorded in Book 11, Page 71 of Maps, in the office of the county recorder of said county, a portion of Lot 5 of the Subdivision of the Estate of Robert Tweedy, deceased, in said city, as per map recorded in Book 83, Pages 13 and 14 of Miscellaneous Records, in the office of the county recorder of said county, a portion of the Rancho San Antonio, and a portion of the Rancho Santa Gertrudes, described as a whole as follows:

Beginning at a point in the Southerly line of Southern Avenue, formerly Stewart and Gray Road, as same is shown on said map of the property of T. A. House, where said Southerly line is intersected by the Southeasterly line of the 50 foot strip of land conveyed by Edison Securities Company, to Southern California Edison Company, by deed dated December 31, 1927 and recorded in Book 9466, Page 376, Official Records, in the office of the county recorder of said county, said point of beginning being 339.38 feet, more or less, Southeasterly, measured along said Southerly line from the Southeasterly line of the Los Angeles County Flood Control District, 600 feet right of way of the Rio Hondo; thence from said point of beginning, Southeasterly along said Southern Avenue, 466.1 feet, more or less, to an angle point in said Southerly line; thence along the Southerly line of said Southern Avenue, South $59^{\circ} 55' 50''$ East, 60.7 feet, more or less, to the most Easterly corner of the Tract of land conveyed to F. J. Pingry, et ux., to Edison Securities Company, by deed dated September 8, 1926 and recorded in Book 6073, Page 92, Official Records, in the office of the county recorder of said county; thence along the Easterly boundary line of said last mentioned tract of land, South $23^{\circ} 45' 25''$ West, 500.22 feet to an angle point in the Southeasterly boundary line of said Block "A" of the property of T. A. House; thence continuing along the Southeasterly boundary line of said Block "A", South $59^{\circ} 47' 25''$ West, 134.61 feet to the intersection of said Southeasterly boundary line with the Northwestern prolongation of that certain course in the Northeasterly boundary line of the Los Angeles County Farm, which is shown on County Surveyor's Map No. 7583, Sheet No. 3, on file in the office of the County Surveyor of said county, as having a bearing of South $57^{\circ} 57' 35''$ East; thence along said Northwestern prolongation, South

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58° 00' 35" East, 66.14 feet to a point in the Southeasterly boundary line of said tract of land conveyed by F. J. Pingry, et ux., to Edison Securities Company, by deed dated September 8, 1926 and recorded in Book 6073, Page 92, Official Records; thence along the Southeasterly boundary line of said last mentioned tract of land, South 30° 22' 20" West, 6.73 feet to the most Northerly corner of said Los Angeles County Farm; thence continuing along said Southeasterly boundary line, the following courses and distances; South 39° 27' 25" West, 1790.64 feet; South 58° 41' 25" East, 72.41 feet and South 58° 22' 30" West, 201.56 feet to a point in the Easterly prolongation of the Southerly line of Lot 3 of the Subdivision of the Estate of Robert Tweedy, deceased, as per map recorded in Book 83, Pages 13 and 14 of Miscellaneous Records, in the office of the county recorder of said county; thence along said Easterly prolongation and along said last mentioned Southerly line, North 85° 26' 12" West, 489.4 feet, more or less, to the most Southerly corner of said 50 foot strip of land conveyed by Edison Securities Company to Southern California Edison Company, referred to above; thence in a general Northeasterly direction along the Southeasterly boundary line of said 50 foot strip of land, to the point of beginning.

EXCEPT therefrom, that portion thereof granted to the City of South Gate, by deed recorded February 3, 1958 in Book D1, Page 547, Official Records.

ALSO EXCEPT from the remainder thereof, the Northwesternly 10 feet thereof.

PARCEL 3:

That portion of the Monteleone Tract recorded in Book 6, Page 53 of Maps, Official Records of said County, described as follows:

Beginning at the Northeast corner of Block 4 of the Alexander Gunn Tract #3 as per map recorded in Book 10, Page 88 of Maps; thence North 84° 36' 30" West 128.11 feet; thence North 58° 42' East to a point in a line that has a bearing of North 4° 24' 26" East and passes through the point of beginning; thence along last mentioned line South 4° 24' 26" West to the point of beginning.

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ENDORSED
FILED

In the office of the Secretary of State
of the State of California

APR 11 1972

ARTICLES OF INCORPORATION

OF

STONEWOOD HOME OWNERS ASSOCIATION

EDMUND G. BROWN Jr., Secretary of State
By F. COLBY VOGEL
Deputy

ARTICLE I

The name of the corporation (hereafter called the "Association") is
Stonewood Home Owners Association.

ARTICLE II

The principal office for the transaction of the business of the Association
is located in Los Angeles County, State of California.

ARTICLE III

This Association is organized pursuant to the General Nonprofit Corporation
Law of the State of California.

ARTICLE IV

PURPOSE AND POWERS OF THE ASSOCIATION

This Association does not contemplate pecuniary gain or profit to the
members thereof, and the specific primary purposes for which it is formed are
to provide for maintenance, preservation and architectural control of the
residence Lots and Common Area within that certain tract of property described as:

Lots 20 through 105 and 116 through 121 inclusive of Tract 23936 to be
recorded in the Office of the Los Angeles County Recorder;
and to promote the health, safety and welfare of the residents within the above-
described property and any additions thereto as may hereafter be brought within
the jurisdiction of this Association for this purpose.

In furtherance of said purposes, this Association shall have power to:

(a) perform all of the duties and obligations of the Association as
set forth in that certain Declaration of Covenants, Conditions and Restrictions,
hereinafter called the "Declaration," applicable to the property and recorded or
to be recorded in the Office of the Los Angeles County Recorder, and as the

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same may be amended from time to time as therein provided, said Declaration being incorporated herein as if set forth at length;

(b) fix, levy, collect and enforce payment by any lawful means, all charges or assessments pursuant to the terms of the Declaration; to pay all expenses in connection therewith and all office and other expenses incident to the conduct of the business of the Association, including all licenses, taxes, or governmental charges levied or imposed against the property of the Association;

(c) acquire (by gift, purchase or otherwise), own, hold, improve, build upon, operate, maintain, convey, sell, lease, transfer, dedicate for public use or otherwise dispose of real or personal property in connection with the affairs of the Association;

(d) borrow money, and only with the assent (by vote or written consent) of two-thirds (2/3) of each class of members mortgage, pledge, deed in trust, or hypothecate any or all of its real or personal property as security for money borrowed or debts incurred;

(e) dedicate, sell or transfer all or any part of the Common Area to any public agency, authority, or utility for such purposes and subject to such conditions as may be agreed to by the members. No such dedication or transfer shall be effective unless an instrument has been signed by two-thirds (2/3) of each class of members, agreeing to such dedication, sale or transfer;

(f) participate in mergers and consolidations with other nonprofit corporations organized for the same purposes or annex additional residential property and Common Area, provided that any merger, consolidation or such annexation shall have the assent by vote of two-thirds (2/3) of each class of members or by the written consent of all of the members;

(g) have and to exercise any and all powers, rights, and privileges which a corporation organized under the General Nonprofit Corporation Law of the State of California by law may now or hereafter have or exercise.

ARTICLE V

MEMBERSHIP

Every person or entity who is a record owner of a fee or undivided fee interest

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In any Lot which is subject by covenants of record to assessment by the Association, including contract sellers, shall be a number of the Association. The foregoing is not intended to include persons or entities who hold an interest merely as security for the performance of an obligation. Membership shall be appurtenant to and may not be separated from ownership of any Lot which is subject to assessment by the Association.

ARTICLE VI

VOTING RIGHTS

The Association shall have two classes of voting membership:

Class A. Class A members shall be all Owners with the exception of the Declarant and shall be entitled to one vote for each Lot owned. When more than one person holds an interest in any Lot, all such persons shall be members. The vote for such Lot shall be exercised as they among themselves determine, but in no event shall more than one vote be cast with respect to any Lot.

Class B. The Class B member(s) shall be the Declarant (as defined in the Declaration), and shall be entitled to three (3) votes for each Lot owned. The Class B membership shall cease and be converted to Class A membership on the happening of either of the following events, whichever occurs earlier:

- (a) when the total votes outstanding in the Class A membership equal the total votes outstanding in the Class B membership; or
- (b) on December 31, 1976.

ARTICLE VII

BOARD OF DIRECTORS

The affairs of this Association shall be managed by a Board of six (6) Directors, who need not be members of the Association. The number of directors may be changed by amendment of the By-Laws of the Association. The names and addresses of the persons who are to act in the capacity of directors until the selection of their successors are:

Norman Burnam, 9090 Burton Way, Beverly Hills, California 90211
Marcia Burnam, 9090 Burton Way, Beverly Hills, California 90211
Albert Zuckerman, 9090 Burton Way, Beverly Hills, California 90211
Georgia Wendling, 9090 Burton Way, Beverly Hills, California 90211
Marcy Abrahamson, 9090 Burton Way, Beverly Hills, California 90211
Betty Stauffer, 9090 Burton Way, Beverly Hills, California 90211

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At the first annual meeting the members shall elect two directors for a term of one year, two directors for a term of two years and two directors for a term of three years; and at each annual meeting thereafter the members shall elect two directors for a term of three years.

ARTICLE VIII

DISSOLUTION

Upon dissolution of the Association, the assets of the Association shall be distributed to an appropriate public agency to be used for purposes similar to those for which this Association was created. In the event that such distribution is refused acceptance, such assets shall be granted, conveyed and assigned to any non-profit corporation, association, trust or other organization organized and operated for such similar purposes.

ARTICLE IX

DURATION

The corporation shall exist perpetually.

ARTICLE X

AMENDMENTS

Amendment of these Articles shall require the assent (by vote or written consent) of members representing 75% or more of the voting power.

IN WITNESS WHEREOF, for the purpose of forming this corporation under the laws of the State of California, we, the undersigned, constituting the incorporators of this Association, have executed these Articles of Incorporation this 7th day of April, 1972.

Norman Burnam
NORMAN BURNAM

Georgia Wendling
GEORGIA WENDLING

Betty Stauffer
BETTY STAUFFER

Marcia Burnam
MARCIA BURNAM

Albert Zuckerman
ALBERT ZUCKERMAN

Marcy Abrahamson
MARCY ABRAHAMSON

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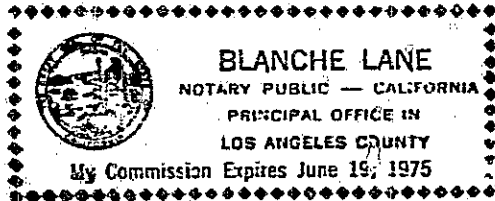
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STATE OF CALIFORNIA)
COUNTY OF LOS ANGELES) ss.

On this 7th day of April, 1972, before me, the undersigned,
a Notary Public in and for said State, personally appeared Norman
Burnam, Marcia Burnam, Georgia Wendling, Albert Zuckerman,
Marcy Abrahamson and Betty Stauffer, known to me to be the
persons whose names are subscribed to the foregoing Articles of
Incorporation and acknowledged to me that they executed the same.

WITNESS my hand and official seal.

Blanche Lane
BLANCHE LANE



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BY-LAWS
OF
STONEWOOD HOME OWNERS
ASSOCIATION

ARTICLE I

NAME AND LOCATION. The name of the corporation is Stonewood Home Owners Association, hereinafter referred to as the "Association." The principal office of the corporation shall be located at 9090 Burton Way, Beverly Hills, California, 90211 but meetings of members and directors may be held at such places within the State of California, County of Los Angeles, as may be designated by the Board of Directors.

ARTICLE II

DEFINITIONS

Section 1. "Association" shall mean and refer to Stonewood Home Owners Association, its successors and assigns.

Section 2. "Properties" shall mean and refer to that certain real property described in the Declaration of Covenants, Conditions and Restrictions, and such additions thereto as may hereafter be brought within the jurisdiction of the Association.

Section 3. "Common Area" shall mean all real property owned by the Association for the common use and enjoyment of the Owners.

Section 4. "Lot" shall mean and refer to any plot of land shown upon any recorded subdivision map of the Properties with the exception of the Common Area.

Section 5. "Owner" shall mean and refer to the record owner, whether one or more persons or entities, of the fee simple title to any Lot which is a part of the Properties, including contract sellers, but excluding those having such interest merely as security for the performance of an obligation.

Section 6. "Declarant" shall mean and refer to Garfield and Southern Company, its successors and assigns if such successors or assigns should acquire more than one undeveloped Lot from the Declarant for the purpose of development.

Section 7. "Declaration" shall mean and refer to the Declaration of Covenants, Conditions and Restrictions applicable to the Properties recorded in the Office

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of the Los Angeles County Recorder.

Section 8. "Member" shall mean and refer to those persons entitled to membership as provided in the Declaration.

ARTICLE III

MEETING OF MEMBERS

Section 1. Annual Meetings. The first annual meeting of the members shall be held within one year from the date of incorporation of the Association or not later than 30 days after 51% of the lots have been sold, whichever occurs first. Subsequent regular annual meetings of the members shall be held on the same day of the same month of each year thereafter, at the hour of 7:30 o'clock, P. M. If the day for the annual meeting of the members is a legal holiday, the meeting will be held at the same hour on the first day following which is not a legal holiday.

Section 2. Special Meetings. Special meetings of the members may be called at any time by the president or by the Board of Directors, or upon written request of the members who are entitled to vote one-fourth ($\frac{1}{4}$) of all of the votes of the Class A membership.

Section 3. Notice of Meetings. Written notice of each meeting of the members shall be given by, or at the direction of, the secretary or person authorized to call the meeting, by mailing a copy of such notice, postage prepaid, at least 15 but not more than 30 days before such meeting to each member entitled to vote thereat, addressed to the member's address last appearing on the books of the Association, or supplied by such member to the Association for the purpose of notice. Such notice shall specify the place, day and hour of the meeting, and, in the case of a special meeting, the purpose of the meeting.

Section 4. Quorum. The presence at the meeting of members entitled to cast, or of proxies entitled to cast, twenty-six per cent of the votes of each class of membership shall constitute a quorum for any action except as otherwise provided in the Articles of Incorporation, the Declaration, or these By-Laws. If, however, such quorum shall not be present or represented at any meeting, the members entitled to vote thereat shall have power to adjourn the meeting from time to time,

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without notice other than announcement at the meeting, until a quorum as afore-
said shall be present or be represented.

Section 5. Proxies. At all meetings of members, each member may vote in
person or by proxy. All proxies shall be in writing and filed with the secretary.
Every proxy shall be revocable and shall automatically cease upon conveyance by
the member of his lot.

ARTICLE IV

BOARD OF DIRECTORS: SELECTION: TERM OF OFFICE

Section 1. Number. The affairs of this Association shall be managed by a
Board of six (6) directors, who need not be members of the Association.

Section 2. Term of Office. At the first annual meeting the members shall
elect two directors for a term of one year, two directors for a term of two years
and two directors for a term of three years; and at each annual meeting thereaf-
ter the members shall elect three directors for a term of three years.

Section 3. Removal. Any director may be removed from the Board, with or
without cause, by a majority vote of the members of the Association. In the event
of death, resignation or removal of a director, his successor shall be selected
by the remaining members of the Board and shall serve for the unexpired term of
his predecessor.

Section 4. Compensation. No director shall receive compensation for any
service he may render to the Association. However, any director may be reimbursed
for his actual expenses incurred in the performance of his duties.

Section 5. Action Taken Without a Meeting. The directors shall have the
right to take any action in the absence of a meeting which they could take at a
meeting by obtaining the written approval of all the directors. Any action so
approved shall have the same effect as though taken at a meeting of the directors.

ARTICLE V

NOMINATION AND ELECTION OF DIRECTORS

Section 1. Nomination. Nomination for election to the Board of Directors
shall be made by a Nominating Committee. Nominations may also be made from the

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floor at the annual meeting. The Nominating Committee shall consist of a Chairman, who shall be a member of the Board of Directors, and two or more members of the Association. The Nominating Committee shall be appointed by the Board of Directors prior to each annual meeting of the members, to serve from the close of such annual meeting until the close of the next annual meeting and such appointment shall be announced at each annual meeting. The Nominating Committee shall make as many nominations for election to the Board of Directors as it shall in its discretion determine, but not less than the number of vacancies that are to be filled. Such nominations may be made from among members or non-members.

Section 2. Election. Election to the Board of Directors shall be by secret written ballot. At such election the members or their proxies may cast, in respect to each vacancy, as many votes as they are entitled to exercise under the provisions of the Declaration. The persons receiving the largest number of votes shall be elected. Cumulative voting is permitted.

ARTICLE VI

MEETINGS OF DIRECTORS

Section 1. Regular Meetings. Regular meetings of the Board of Directors shall be held monthly without notice, at such place and hour as may be fixed from time to time by resolution of the Board. Should said meeting fall upon a legal holiday, then that meeting shall be held at the same time on the next day which is not a legal holiday.

Section 2. Special Meetings. Special meetings of the Board of Directors shall be held when called by the president of the Association, or by any two directors, after not less than three (3) days notice to each director.

Section 3. Quorum. A majority of the number of directors shall constitute a quorum for the transaction of business. Every act or decision done or made by a majority of the directors present at a duly held meeting at which a quorum is present shall be regarded as the act of the Board.

ARTICLE VII

POWERS AND DUTIES OF THE BOARD OF DIRECTORS

Section 1. Powers. The Board of Directors shall have power to:

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(a) adopt and publish rules and regulations governing the use of the Common Area and facilities, and the personal conduct of the members and their guests thereon, and to establish penalties for the infraction thereof;

(b) suspend the voting rights and right to use of the recreational facilities of a member during any period in which such member shall be in default in the payment of any assessment levied by the Association. Such rights may also be suspended after notice and hearing, for a period not to exceed 30 days for infraction of published rules and regulations;

(c) exercise for the Association all powers, duties and authority vested in or delegated to this Association and not reserved to the membership by other provisions of these By-Laws, the Articles of Incorporation, or the Declaration;

(d) declare the office of a member of the Board of Directors to be vacant in the event such member shall be absent from three (3) consecutive regular meetings of the Board of Directors; and

(e) employ a manager, an independent contractor, or such other employees as they deem necessary, and to prescribe their duties.

Section 2. Duties. It shall be the duty of the Board of Directors to:

(a) cause to be kept a complete record of all its acts and corporate affairs and to present a statement thereof to the members at the annual meeting of the members, or at any special meeting when such statement is requested in writing by one-fourth ($\frac{1}{4}$) of the Class A members who are entitled to vote;

(b) supervise all officers, agents and employees of this Association, and to see that their duties are properly performed;

(c) as more fully provided in the Declaration, to:

(1) fix the amount of the annual assessment against each Lot at least thirty (30) days in advance of each annual assessment period;

(2) send written notice of each assessment to every Owner subject thereto at least thirty (30) days in advance of each annual assessment period; and

(3) foreclose the lien against any property for which assessments are not paid within thirty (30) days after due date or to bring an action at law against the owner personally obligated to pay the same.

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(d) issue, or to cause an appropriate officer to issue, upon demand, by any person, a certificate setting forth whether or not any assessment has been paid. A reasonable charge may be made by the Board for the issuance of these certificates. If a certificate states an assessment has been paid, such certificate shall be conclusive evidence of such payment;

(e) procure and maintain adequate liability and hazard insurance on property owned by the Association;

(f) cause all officers or employees having fiscal responsibilities to be bonded, as it may deem appropriate;

(g) cause the Common Area to be maintained.

ARTICLE VIII

OFFICERS AND THEIR DUTIES

Section 1. Enumeration of Offices. The officers of this Association shall be a president and vice-president, who shall at all times be members of the Board of Directors, a secretary, and a treasurer, and such other officers as the Board may from time to time by resolution create.

Section 2. Election of Officers. The election of officers shall take place at the first meeting of the Board of Directors following each annual meeting of the members.

Section 3. Term. The officers of this Association shall be elected annually by the Board and each shall hold office for one (1) year unless he shall sooner resign, or shall be removed, or otherwise disqualified to serve.

Section 4. Special Appointments. The Board may elect such other officers as the affairs of the Association may require, each of whom shall hold office for such period, have such authority, and perform such duties as the Board may, from time to time, determine.

Section 5. Resignation and Removal. Any officer may be removed from office with or without cause by the Board. Any officer may resign at any time giving written notice to the Board, the president or the secretary. Such resignation shall take effect on the date of receipt of such notice or at any later time specified therein, and unless otherwise specified therein, the acceptance of such resign-

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nation shall not be necessary to make it effective.

Section 6. Vacancies. A vacancy in any office may be filled by appointment by the Board. The officer appointed to such vacancy shall serve for the remainder of the term of the officer he replaces.

Section 7. Multiple Offices. The offices of secretary and treasurer may be held by the same person. No person shall simultaneously hold more than one of any of the other offices except in the case of special offices created pursuant to Section 4 of this Article.

Section 8. Duties. The duties of the officers are as follows:

President

(a) The president shall preside at all meetings of the Board of Directors; shall see that orders and resolutions of the Board are carried out; shall sign all leases, mortgages, deeds and other written instruments and shall co-sign all checks and promissory notes.

Vice-President

(b) The vice-president shall act in the place and stead of the president in the event of his absence, inability or refusal to act, and shall exercise and discharge such other duties as may be required of him by the Board.

Secretary

(c) The secretary shall record the votes and keep the minutes of all meetings and proceedings of the Board and of the members; keep the corporate seal of the Association and affix it on all papers requiring said seal; serve notice of meetings of the Board and of the members; keep appropriate current records showing the members of the Association together with their addresses, and shall perform such other duties as required by the Board.

Treasurer

(d) The treasurer shall receive and deposit in appropriate bank accounts all monies of the Association and shall disburse such funds as directed by resolution of the Board of Directors; shall sign all checks and promissory notes of the Association; keep proper books of account; cause an annual audit of the Association books to be made by a public accountant at the completion of each fiscal year; and shall prepare an annual budget and a statement of income and expenditures

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to be represented to the membership at its regular annual meeting, and deliver a copy of each to the members.

ARTICLE IX

COMMITTEES

The Association shall appoint an Architectural Control Committee, as provided in the Declaration, and a Nominating Committee, as provided in these By-Laws. In addition, the Board of Directors shall appoint other committees as deemed appropriate in carrying out its purpose.

ARTICLE X

BOOKS AND RECORDS

The books, records, and papers of the Association shall at all times, during reasonable business hours, be subject to inspection by any member. The Declaration, the Articles of Incorporation and the By-Laws of the Association shall be available for inspection by any member at the principal office of the Association, where copies may be purchased at reasonable cost.

ARTICLE XI

ASSESSMENTS

As more fully provided in the Declaration, each member is obligated to pay to the Association annual and special assessments which are secured by a continuing lien upon the property against which the assessment is made. Any assessments which are not paid when due shall be delinquent. If the assessment is not paid within thirty (30) days after the due date, the assessment shall bear interest from the date of delinquency at the rate of ten per cent per annum, and the Association may bring an action at law against the Owner personally obligated to pay the same or foreclose the lien against the property, and interest, costs, and reasonable attorney's fees of any such action shall be added to the amount of such assessment. No Owner may waive or otherwise escape liability for the assessments provided for herein by nonuse of the Common Area or abandonment of his Lot.

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ARTICLE XII
CORPORATE SEAL

The Association shall have a seal in circular form having within its circumference the words: Stonewood Home Owners Association - a California Corporation.

ARTICLE XIII
AMENDMENTS

Section 1. These By-Laws may be amended, at a regular or special meeting of the members, by a vote of a majority of a quorum of members present in person or by proxy.

Section 2. In the case of any conflict between the Articles of Incorporation and these By-Laws, the Articles shall control; and in the case of any conflict between the Declaration and these By-Laws, the Declaration shall control.

ARTICLE XIV
MISCELLANEOUS

The fiscal year of the Association shall begin on the first day of January and end on the 31st day of December of every year, except that the first fiscal year shall begin on the date of incorporation.

IN WITNESS WHEREOF, we, being all of the directors of the Stonewood Home Owners Association, have hereunto set our hands this 11th day of April, 1972.

Norman Burnam
NORMAN BURNAM

Georgia Wendling
GEORGIA WENDLING

Betty Stauffer
BETTY STAUFFER

Marcia Burnam
MARCIA BURNAM

Albert Zuckerman
ALBERT ZUCKERMAN

Marcy Abrahamson
MARCY ABRAHAMSON

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CERTIFICATION

I, the undersigned, do hereby certify:

THAT I am the duly elected and acting Secretary of the Stonewood Home Owners Association, a California corporation, and,

THAT the foregoing By-Laws constitute the original By-Laws of said Association, as duly adopted at a meeting of the Board of Directors thereof, held on the 18th day of April, 1972.

IN WITNESS WHEREOF, I have hereunto subscribed my name and affixed the seal of said Association this 18th day of April, 1972.

Georgia Wendling
GEORGIA WENDLING

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